

RATING RATIONALE

7 Aug 2020

Zee Entertainment Enterprises Limited

Brickwork Ratings downgrades the ratings of 6% Cumulative Redeemable Non-Convertible Preference Shares (CRNPS) and issuer rating of Zee Entertainment Enterprises Limited. The rating continues to remain on Credit Watch with Negative Implications.

Particulars.

Instruments	Previous Amount	Present Amount	Previous Rating (December 2019)	Present Rating
	(Rs. Cr)	(Rs. Cr)		
6% Cumulative Redeemable Non-convertible Preference Shares (CRNPS)	1210.16	806.78	BWR AA Credit Watch With Negative Implications	BWR AA- Credit Watch With Negative Implications
Issuer Rating	NA	NA	BWR AA Credit Watch With Negative Implications	BWR AA- Credit Watch With Negative Implications
Total	1210.16	806.78	INR Eight Hundred Six Crores and Seventy-Eight Lakhs Only.	

*Please refer to BWR website www.brickworkratings.com/ for definition of the ratings

Rating Action: Brickwork Ratings (BWR) downgrades the ratings of CRNPS and issuer ratings of Zee Entertainment Enterprises Limited (ZEEL) from BWR AA (Credit Watch with Negative Implications) to BWR AA- (Credit Watch with Negative Implications).

The downgrade in ratings factors in decline in profitability and margins for the year ended FY20, reported loss at the operating and net level for Q4FY20 and weakening credit profile.

The ratings continue to factor in the established track record of ZEEL in the Indian television broadcasting industry and presence in the media and entertainment industry for more than two decades, a large array of offerings across general entertainment, regional and niche segments and the current low debt, high net worth and superior liquidity.



BWR also takes note of the audit qualification with respect to non-recognizing the liability against the put option agreement entered into by a wholly owned subsidiary with the related party.

The rating continues to remain on Credit Watch with Negative Implications on account of uncertainties associated with the outcome of the ongoing inspection by the Ministry of Corporate Affairs (MCA) as disclosed by the company to the stock exchange in February 2020 and contingent liabilities on account of the letter of comforts/guarantees issued by the company.

Key Rating Drivers.

Credit Strengths

Established promoter group with track record in media and entertainment industry: The promoters are known to be the pioneers of the private Indian television broadcasting industry and have been in the media and entertainment industry since more than two decades. The strong presence of Brand Zee in the Indian media space is via its presence in the diverse segments and positioning of flagship channel Zee TV among the top Hindi General Entertainment Channels (GECs) with rights to more than 4800 movie titles of the Hindi film library and 260K+ hours of television content. Through its strong presence worldwide, ZEEL entertains over 1.3 billion viewers across more than 173 countries, 46 domestic channels and 40 international channels. Mr. Punit Goenka is the managing director and CEO. .

ZEEL's diversification across segments.

ZEEL's portfolio is diversified across varied segments, including broadcasting in domestic and international markets, the production and distribution of films across several languages, launching leading music labels, organizing various live entertainment events and content distribution through digital OTT platform ZEE5. ZEE5's global MAUs and DAUs stood at 63.1mn and 6mn, respectively, in March 2020.

Superior liquidity profile: The Company has superior liquidity, with cash and cash equivalents of ~Rs.10.2bn.

Credit Weakness:

There is weakening of credit profile on account of the following.

Significant decline in the profit and margins in FY20, and reported loss at the operating and net levels for the quarter ended March 2020. Advertising revenues for the year declined by 7% YoY, while the subscription revenue grew by 24.96%. The company reported an accelerated content amortisation cost of Rs. 259.8 Cr and provision of Rs. 343.4 Cr for the balance related to ads, subscriptions and other assets wherein recovery has become doubtful on account of the Covid-19 pandemic. The operating profit margin declined to 20.11% in FY20 from 32.32% reported in FY19. The company reported a loss at the operating and net levels amounting to Rs. 283.86 Cr and Rs. 765.82 Cr, respectively, for quarter ending March 2020.

Delays in recovering receivables from related parties, which continues to remain high.

The company has trade receivables aggregating Rs. 815.52 Cr from two key strategic customers (Dish TV and Siti Networks) as on 31 March 2020, including amounts that are long overdue. The company has recorded an expected credit loss aggregating Rs. 117.87 Cr on account of the potential impact of the COVID-19 pandemic and Rs 37.64 Cr towards the time value of money on account of delayed collections. The company has informed that it has received a payment plan from them, and the receivables position was expected to come down. Given the weak credit profile of these counter parties, the risk factor of collection continues to remain high. ZEEL has also invested in NCDs issued by Zee Learn Limited amounting to ~Rs. 44.51 Cr, which will be redeemed over a period of 18 months.

Working-capital-intensive nature of business and volatile nature of main advertising revenue.

ZEEL's operation is working-capital-intensive, mainly on account of a higher inventory holding in the form of content development and rights. The company is also making significant investments in its OTT platform ZEE5 to compete with the other aggressive players in the market. In FY20, ZEE5 released 80+ shows and movies in FY20. Since more choice has to be offered to the customers, the company focuses on content production, which forms a major part of the inventory. In addition, advertisement revenue largely depends on macroeconomic conditions, viewership and the quality and popularity of the channel and content. The inventories level increased to Rs. 5347.48 Cr in FY20 to Rs. 3850.5 Cr in FY19.

Corporate guarantee extended to group company:

ZEEL extended a corporate guarantee for Siti Network Limited (SNL). The quantum of corporate guarantee as of March 2020 stood at Rs.116.60 Cr, while the full value of the corporate guarantee for SNL is Rs. 252.3 Cr. The credit profile of SNL has weakened; as such, any fallback on the guarantor would now constitute a key rating sensitivity.

Auditors qualifications: ZEEL issued a Letter of Comfort (LOC) issued in May 2016 to Yes Bank Limited (YBL) in connection with a borrowing by Living Entertainment Limited (LEL), a related party, from the said bank, confirming, among other matters, to support ATL Media Limited (ATL), a wholly owned subsidiary of the company, by way of infusion of equity/debt for meeting various requirements of ATL, including honouring a put option entered into by ATL with LEL, which was renewed on 29 July 2019 to be valid until 30 December 2026, to purchase 64.38% of the issued share capital held by LEL in Veria International Limited (VIL), another related party of the company, at the exercise price of \$52.50 million (Rs. 392.75Cr as at 31 March 2020), which was assigned by LEL in favour of Axis Bank Limited, DIFC branch, the security trustee for the benefit of the bank, to secure the said borrowing by LEL. In view of the alleged defaults by LEL in repaying its dues to the bank and ATL also not settling the amount called by the bank under the put option, subsequent to the year-end, the bank filed a plaint in the Hon'ble High Court of Bombay on the grounds, among other matters, seeking an interim application with a main prayer that the aforesaid LOC is a guarantee given by the company. The

Hon'ble High Court refused the ad-interim relief sought by the bank. The bank has preferred an appeal against the order, and the company is contesting the bank's claim in the Hon'ble High Court. Consequently, the management has not considered the LOC as a financial guarantee and since the matter is sub judice, has not accounted for any liability with regard to the LOC and the aforesaid contention of the bank.

Inspection by MCA.

The Ministry of Corporate Affairs (MCA) has sought certain information and inspection under Section 206 (5) of the Companies Act, 2013 as per the company's filing to the stock exchange on 5 February 2020.

Liquidity profile: The Company has superior liquidity, with cash and cash equivalents of ~Rs.10.2 bn, against which the redemption liability of preference shares is Rs. 403.38 Cr.

Analytical Approach: BWR has analyzed ZEEL's credit profile by considering the consolidated financial statements of the group owing to financial and operational linkages between the parent and its subsidiaries. The list of subsidiaries is given at the end of the rationale.

Rating Sensitivities.

Positive: A significant improvement in the overall financial profile of the company, including an improvement in the receivables position from related parties.

Negative: Any deterioration in the overall financial performance of the company or an adverse development with respect to related party transactions, the crystallization of contingent liability and any significant investment are key rating sensitivities.

COMPANY PROFILE

Zee Entertainment Enterprises Limited (ZEEL)

ZEEL is one of India's leading television, media and entertainment companies, and a key operating company of the group. ZEE is among the top Hindi General Entertainment Channels (GECs) with rights to more than 4800 movie titles of the Hindi film library and 260K + hours of television content. Through its strong presence worldwide, ZEEL entertains over 1.3 billion viewers across more than 173 countries, 46 domestic channels and 40 international channels. The company also has a strong offering in the regional language domain. The board of directors consists of eight members, with Mr. Punit Goenka as the MD and CEO, and Shri Subhash Chandra as the non-executive director, along with five independent directors.

KEY FINANCIAL INDICATORS- Consolidated (in ₹ Cr)

Particulars.	Units	FY19.	FY20
Result Type		Audited	Audited
Total Operating Income	Rs. in Cr	7933.90	8128.86
EBITDA	Rs in Cr	2563.94	1634.57
PAT	Rs. in Cr	1567.24	525.59
TNW	Rs. in Cr	8226.87	8749.9
Total Debt/TNW	Times	0.13	0.07
ISCR	Times	19.7	11.3
DSCR	Times	3.78	1.8

NON-COOPERATION WITH PREVIOUS RATING AGENCY IF ANY: NA

Details of CRNPS:

During the year ended 31 March 2014, the company had issued 20,169,423,120 6% Cumulative Redeemable Non-Convertible Preference Shares of Rs. 1/- each (consolidated to face value of Rs. 10 each in FY 2017) by way of bonus in the ratio of 21 bonus preference shares of Rs 1/- each, fully paid-up for every one equity share of Rs 1/- each fully paid-up and are listed on the Bombay Stock Exchange (BSE) and National Stock Exchange (NSE) in India. During the year ended 31 March 2017, 6% Cumulative Redeemable Non-Convertible Preference Shares of Rs 1/- each were converted to 6% Cumulative Redeemable Non-Convertible Preference Shares of Rs. 10/- each. The company redeems at par value, 20% of the total bonus preference shares allotted, every year from the fourth anniversary of the date of allotment. The company has an option to buy back the bonus preference shares fully or in parts at an earlier date(s) as may be decided by the board. Further, if on any anniversary of the date of allotment beginning from the fourth anniversary, the total number of bonus preference shares bought back and redeemed cumulatively is in excess of the cumulative bonus preference shares required to be redeemed until the said anniversary, there will be no redemption on that anniversary. On the eighth anniversary of the date of allotment, all the remaining and outstanding bonus preference shares shall be redeemed by the company.

RATING HISTORY (including rating withdrawal and suspended)

Sr. NO	Instrument Facility	Current Rating (Year 2020)			Rating History		
		Type	Amount (Rs Cr)	Rating	2019	November 2018	November 2017
1	Cumulative Redeemable Non-convertible Preference Shares (CRNPS)	Long Term	806.78	BWR AA- (Credit Watch With Negative Implications)	BWR AA Credit Watch With Negative Implications (December 2019) BWR AA+ Credit Watch With Negative Implications (November 2019) BWR AAA; Credit Watch With Negative Implication (June 2019)	BWR AAA Credit Watch With Developing Implications	BWR AAA Stable
2	Issue Rating	Long Term	NA	BWR AA- (Credit Watch With Negative Implications)	BWR AA Credit Watch With Negative Implications (December 2019) BWR AA+ Credit Watch With Negative Implications (November 2019) BWR AAA; Credit Watch With Negative Implication (June 2019)	BWR AAA Credit Watch With Developing Implications	BWR AAA Stable

Hyperlink/Reference to applicable Criteria

- [General Criteria](#)
- [Approach to Financial Ratios](#)
- [Policy for Placing Rating on Credit Watch](#)
- [Services Sector](#)

COMPLEXITY LEVELS OF THE INSTRUMENTS.

For more information, visit www.brickworkratings.com/download/ComplexityLevels.pdf

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Zee Entertainment Enterprises Limited ANNEXURE I

List of entities consolidated

Subsidiaries

Essel Vision Productions Limited
 Zee Digital Convergence Limited (Formerly Zee Sports Limited)
 Pantheon Productions Limited
 Zee Unimedia Limited
 Zee Turner Limited
 Margo Networks Private Limited
 Asia Multimedia Distribution Inc.
 Asia Today Limited (Formerly Zee Multimedia (Maurice) Limited)
 Asia Today Singapore Pte Limited
 Asia TV GmbH
 Asia TV Limited (UK)
 Asia TV USA Limited
 ATL Media FZ-LLC
 ATL Media Limited (Formerly Asia Today Limited)
 Eevee Multimedia Inc.
 Expand Fast Holdings (Singapore) Pte Limited



000 Zee CIS LLC
Taj TV Limited
Z5X Global FZ - LLC
Zee Entertainment Middle East FZ-LLC
Zee Multimedia Worldwide (Mauritius) Limited
Zee Studio International Limited
Zee Technologies (Guangzhou) Limited
Zee TV South Africa (Proprietary) Limited
Zee TV USA Inc.
India Webportal Private Limited
Idea Shop Web Private Limited
Fly by Wire International Private Limited
000 Zee CIS Holding LLC

Joint Venture

Media Pro Enterprise India Private Limited

Associate

Asia Today Thailand Limited

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